Lenovo Group Limited (0992)

2QFY27 Preview: ISG upside more than offsets PC weakness

Overweight

0992.HK, 992 HK

Price (16 Oct 26): HK$28.06

Price Target (Jun-27): HK$50.00

Going into Lenovo's 2QFY27 earnings, we expect a decent beat driven by ISG upside. We see robust traditional server demand and model 30% QoQ ISG revenue growth in the Sep-quarter. Although PC end-demand has started to weaken, we expect IDG revenue to remain flattish, supported by ASP increases. Net-net, we raise our 2QFY27 revenue/non-GAAP net income estimates by 5%/7%, reflecting stronger ISG momentum and a better product mix. Looking ahead, we expect ISG revenue to grow another 15% QoQ in the Dec-quarter, supported by an expanding AI pipeline and more meaningful AI revenue conversion in FY2H27. Initial Vera Rubin rack shipments in the Dec-quarter provide additional upside and should help sustain growth into CY27. While PC shipments are likely to decline further in a weakening market, ISG growth should more than offset the drag. Overall, we raise our FY27/28 non-GAAP net income estimates by 6%/8% to reflect a stronger ISG outlook and reiterate OW with a Jun-27 PT of HK$50, based on 19x 12-month forward non-HKFRS diluted EPS. In this note, we incorporate a US$1.9bn warrant expense in 2QFY27 and share count dilution from CB issuance in our model.

- **Traditional server strength drives ISG upside in 2QFY27**. We see continued strength from Microsoft general server shipments and resilient enterprise server/storage demand in the quarter. We model ISG revenue up 30% QoQ in the Sep-Q (vs. Wiwynn general server up ~25% QoQ). As enterprises continue to refresh CPU/storage servers to support agentic workloads, we expect sustainable demand strength, with an additional tailwind from new server CPU platform ramps in CY27. On margins, we estimate ISG OPM of 9.5% in the quarter, supported by favorable pricing dynamics amid strong demand and supply constraints.

- **AI pipeline continues to build beyond 2HFY27**. We estimate AI servers account for 15–20% of ISG revenue and expect the contribution to increase from the Dec-quarter, driven by migration to Nvidia's new GPU platform. While market concerns around neocloud financing risks have increased, we believe Lenovo is better positioned given its long-tail AI server customer profile. In addition, the company does not provide bridge loans and requires customer prepayments, helping mitigate liquidity risk. Overall, we forecast ISG revenue growth of 141%/55% in FY27/28.

- **PC m/s gains amid market weakness**. Lenovo's PC shipments declined 10% QoQ in the Sep-Q, outperforming the broader market at -14% QoQ, according to Gartner. We attribute the milder decline to a better product mix. We model a more flattish QoQ PC revenue trend in 2QFY27, supported by ASP expansion. Looking ahead, we expect resilient IDG earnings, helped by Lenovo's supply-chain management and industry consolidation, although demand is likely to remain muted in 2027.

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. net income - 27E ($ mn)	4,531	4,822	6.4%
Adj. net income - 28E ($ mn)	5,074	5,459	7.6%

Quarterly Forecasts (FYE Mar)

Adj. net income ($ mn)	2026A	2027E	2028E
Q1	389	1,075A	1,298
Q2	512	1,268	1,360
Q3	589	1,287	1,468
Q4	559	1,192	1,333
FY	2,049	4,822	5,459

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	16	9	9	15	9
Growth	43	70	74	90	84
Momentum	1	32	29	58	29
Quality	28	27	27	29	25
Low Vol	85	70	76	51	55
ESGQ	1	7	8	1	1

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 0992.HK Price (HK$) — MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	203.0%	-17.0%	26.1%	143.8%
Rel	217.8%	-14.1%	31.9%	162.0%

Company Data

Shares O/S (mn)	12,405
52-week range (HK$)	37.88-8.52
Market cap ($ mn)	44,351
Exchange rate	7.85
Free float (%)	56.3%
3M ADV (mn)	99.30
3M ADV ($ mn)	376.1
Volatility (90 Day)	80
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	35|1|0

Key Metrics (FYE Mar)

$ in millions	FY26A	FY27E	FY28E	FY29E
Financial Estimates				
Revenue	83,075	114,453	140,672	165,963
Adj. EBIT	3,124	7,052	7,940	8,915
Adj. EBITDA	4,562	4,981	9,271	10,246
Adj. net income	2,049	4,822	5,459	6,306
Adj. EPS	0.14	0.31	0.34	0.39
BBG EPS	0.13	0.27	0.41	-
Cashflow from operations	3,844	(1,309)	6,271	7,389
FCFF	2,704	(1,950)	5,660	6,842
Margins and Growth				
Revenue Growth Y/Y (%)	20.3%	37.8%	22.9%	18.0%
EBIT margin	3.8%	6.2%	5.6%	5.4%
EBIT Growth Y/Y (%)	27.4%	125.7%	12.6%	12.3%
EBITDA margin	5.5%	4.4%	6.6%	6.2%
EBITDA Growth Y/Y (%)	31.6%	9.2%	86.1%	10.5%
Net margin	2.5%	4.2%	3.9%	3.8%
Adj. EPS growth	27.5%	120.5%	10.7%	15.5%
Ratios				
Adj. tax rate	19.3%	20.1%	19.5%	19.5%
Interest cover	7.9	5.3	9.6	11.6
Net debt/Equity	NM	13.3%	NM	NM
Net debt/EBITDA	NM	0.3	NM	NM
ROE	27.1%	49.1%	40.4%	34.0%
Valuation				
FCFF yield	5.1%	(3.4%)	9.8%	11.8%
Dividend yield	1.5%	1.7%	1.9%	2.1%
EV/Revenue	0.5	0.4	0.3	0.2
EV/EBITDA	9.7	9.2	4.5	3.6
Adj. P/E	25.8	11.7	10.6	9.2

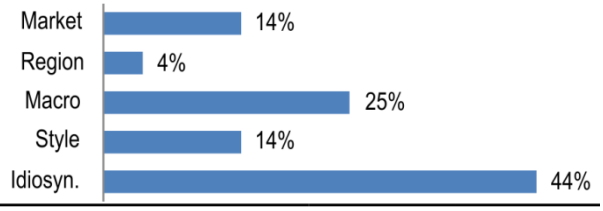
Summary Investment Thesis and Valuation

We expect ISG to become a key earnings driver over the medium term. IDG profitability also appears better than feared, as Lenovo has been able to outgrow its peers through better supply chain management and higher scale. OW.

Valuation

Our Jun-27 PT of HK$50 is based on 19x 12-month-forward non-HKFRS diluted EPS. Our 19x multiple is above the mid-cycle valuation given the stronger earnings outlook, driven by faster-than-expected server profitability improvement, more resilient IDG margin and continued outperformance in the PC sector.

Performance Drivers



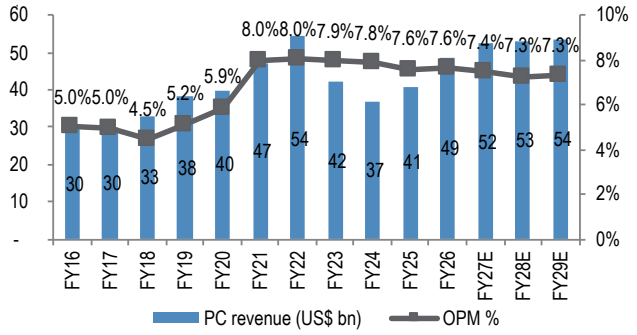
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.36	0.37
Region: China	-0.22	-0.19
Macro:		
Generic 1st 'CO' Future	0.54	0.51
JPM Global Equity Sentiment	-0.26	-0.23
Citi Economic Surprise - EM	-0.28	-0.18
Quant Styles:		
Size	0.46	0.42
Momentum	0.20	0.15
Growth	0.07	0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Figure 1: Lenovo PC Revenues and OPM

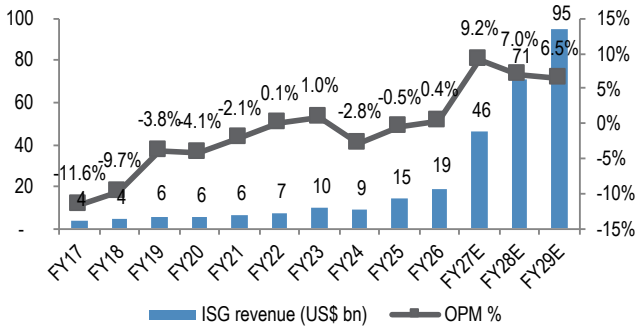
US$ in billions, yoy %



Source: Company reports 4QFY26, J.P. Morgan estimates.

Figure 2: Lenovo's ISG Revenue and OPM

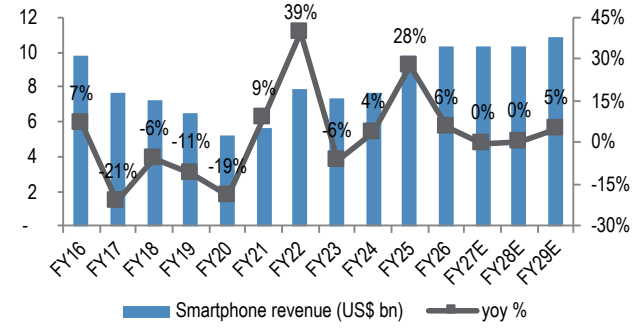
US$ in billions, %



Source: J.P. Morgan estimates, Company reports 4QFY26.

Figure 3: Lenovo's Smartphone Revenue and YoY

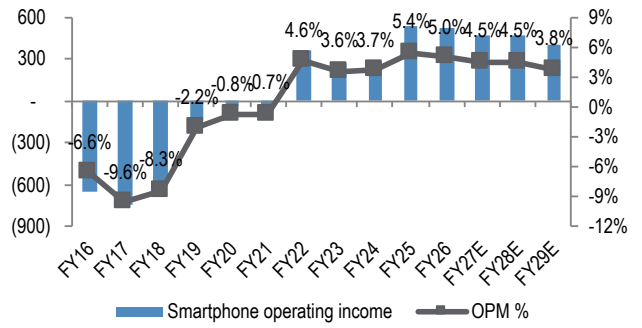
US$ in billions, %



Source: J.P. Morgan estimates, Company reports 4QFY26.

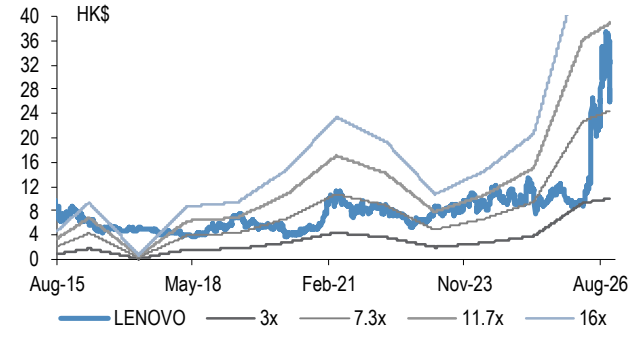
Figure 4: Lenovo's Smartphone Operating Income and OPM

US$ in millions, %



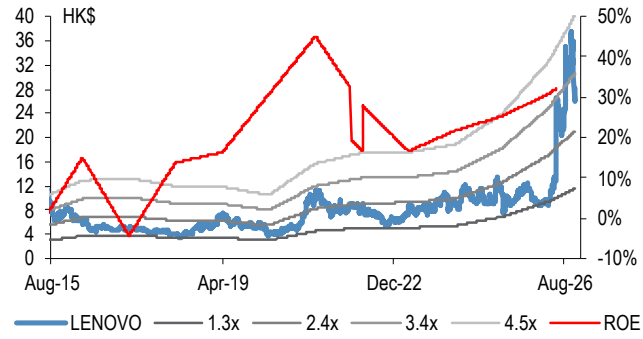
Source: J.P. Morgan estimates, Company reports 4QFY26.

Figure 5: One-year forward P/E band



Source: J.P. Morgan calculations, Bloomberg Finance L.P. estimates as of close of May 22, 2026. Based on non HKFRS 12M fwd EPS.

Figure 6: One-year forward P/B band



Source: J.P. Morgan calculations, Bloomberg Finance L.P. estimates as of close of May 22, 2026.

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Table 1: Lenovo earnings revision

	Revised			Prior			Change (%)		
US$ million, YE Mar	2QFY27E	3QFY27E	4QFY27E	2QFY27E	3QFY27E	4QFY27E	2QFY27E	3QFY27E	4QFY27E
Sales	29,234	29,549	28,727	27,726	27,976	26,607	5%	6%	8%
Gross profit	4,846	4,838	4,558	4,615	4,621	4,287	5%	5%	6%
Non-HKFRS Operating profit	1,847	1,905	1,777	1,761	1,784	1,635	5%	7%	9%
Non-HKFRS Pretax profit	1,636	1,676	1,557	1,550	1,555	1,418	6%	8%	10%
Non-HKFRS Net Income	1,268	1,287	1,192	1,186	1,190	1,080	7%	8%	10%
Non-HKFRS diluted EPS (US$)	0.08	0.08	0.07	0.08	0.08	0.07	-5%	-4%	-2%
Gross Margin	*16.6%*	*16.4%*	*15.9%*	*16.6%*	*16.5%*	*16.1%*	*-7bps*	*-14bps*	*-24bps*
Operating Margin	*6.3%*	*6.4%*	*6.2%*	*6.4%*	*6.4%*	*6.1%*	*-4bps*	*7bps*	*4bps*
Net Margin	*4.3%*	*4.4%*	*4.1%*	*4.3%*	*4.3%*	*4.1%*	*6bps*	*10bps*	*9bps*
OPEX Ratio	*10.3%*	*9.9%*	*9.7%*	*10.3%*	*10.1%*	*10.0%*	*-3bps*	*-21bps*	*-29bps*
Segment Revenue									
PCSD	13,967	12,641	11,273	14,052	12,489	11,740	-1%	1%	-4%
MBG	2,737	2,737	2,193	2,737	2,737	2,193	0%	0%	0%
ISG	11,059	12,719	13,889	9,379	11,206	11,178	18%	13%	24%
SSG	3,172	3,172	3,045	3,172	3,172	3,045	0%	0%	0%
Segment PTI									
PCSD	1,048	923	823	1,040	912	857	1%	1%	-4%
MBG	137	137	88	137	137	88	0%	0%	0%
ISG	1,051	1,208	1,222	891	1,065	1,006	18%	13%	21%
SSG	745	730	700	745	730	700	0%	0%	0%

Source: Company data, J.P. Morgan estimates

Table 2: Lenovo earnings revision

	Revised			Prior			Change (%)		
US$ million, YE Mar	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E
Sales	114,453	140,672	165,963	109,252	130,715	152,927	5%	8%	9%
Gross profit	18,694	20,087	22,373	17,974	19,149	21,323	4%	5%	5%
Non-HKFRS Operating profit	7,052	7,940	8,915	6,703	7,448	8,281	5%	7%	8%
Non-HKFRS Pretax profit	6,223	7,094	8,152	5,877	6,613	7,526	6%	7%	8%
Non-HKFRS Net Income	4,822	5,459	6,306	4,531	5,074	5,805	6%	8%	9%
Non-HKFRS diluted EPS (US$)	0.30	0.34	0.39	0.31	0.35	0.40	-3%	-4%	-3%
Gross Margin	*16.3%*	*14.3%*	*13.5%*	*16.5%*	*14.6%*	*13.9%*	*-12bps*	*-37bps*	*-46bps*
Operating Margin	*6.2%*	*5.6%*	*5.4%*	*6.1%*	*5.7%*	*5.4%*	*3bps*	*-5bps*	*-4bps*
Net Margin	*4.2%*	*3.9%*	*3.8%*	*4.1%*	*3.9%*	*3.8%*	*6bps*	*0bps*	*0bps*
OPEX Ratio	*10.2%*	*8.6%*	*8.1%*	*10.3%*	*9.0%*	*8.5%*	*-14bps*	*-32bps*	*-42bps*
Segment Revenue									
PCSD	52,367	52,969	53,597	52,766	53,346	55,643	-1%	-1%	-4%
MBG	10,287	10,322	10,863	10,287	10,322	10,863	0%	0%	0%
ISG	46,177	71,420	94,692	40,273	60,507	78,851	15%	18%	20%
SSG	12,273	14,148	16,470	12,273	14,148	16,470	0%	0%	0%
Segment PTI									
PCSD	3,899	3,853	3,925	3,914	3,960	4,134	0%	-3%	-5%
MBG	466	468	409	466	468	409	0%	0%	0%
ISG	4,258	5,031	6,114	3,739	4,292	5,091	14%	17%	20%
SSG	2,872	3,113	3,459	2,872	3,113	3,459	0%	0%	0%

Source: Company data, J.P. Morgan estimate

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Table 3: Lenovo quarterly earnings table

US$mn	FY27E				FY28E				FY28E				FY26	FY27E	FY28E	FY29E
	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	**26,943**	**29,234**	**29,549**	**28,727**	**32,364**	**35,976**	**37,596**	**34,736**	**37,996**	**42,972**	**44,600**	**40,395**	**83,075**	**114,453**	**140,672**	**165,963**
COGS	(22,491)	(24,388)	(24,711)	(24,169)	(27,574)	(30,887)	(32,305)	(29,818)	(32,837)	(37,211)	(38,642)	(34,901)	(70,265)	(95,759)	(120,584)	(143,590)
Gross Profit	**4,452**	**4,846**	**4,838**	**4,558**	**4,789**	**5,089**	**5,290**	**4,918**	**5,159**	**5,761**	**5,958**	**5,494**	**12,809**	**18,694**	**20,087**	**22,373**
Operating Expense	(4,433)	(4,916)	(2,950)	(2,798)	(2,899)	(3,141)	(3,183)	(2,993)	(3,193)	(3,449)	(3,543)	(3,341)	(9,548)	(15,097)	(12,215)	(13,526)
EBIT (non GAAP)	**1,523**	**1,847**	**1,905**	**1,777**	**1,908**	**1,965**	**2,124**	**1,943**	**1,983**	**2,329**	**2,432**	**2,170**	**3,124**	**7,052**	**7,940**	**8,915**
Net Interest Income	(193)	(242)	(260)	(251)	(248)	(229)	(253)	(240)	(229)	(206)	(234)	(219)	(577)	(945)	(970)	(887)
Net Other Income	(6)	-	-	-	-	-	-	-	-	-	-	-	(15)	(6)	-	-
Pre Tax Profit (non GAAP)	**1,354**	**1,636**	**1,676**	**1,557**	**1,690**	**1,767**	**1,903**	**1,734**	**1,785**	**2,155**	**2,229**	**1,983**	**2,504**	**6,223**	**7,094**	**8,152**
Tax	(298)	(327)	(326)	(302)	(328)	(344)	(371)	(337)	(347)	(421)	(436)	(387)	(510)	(1,252)	(1,380)	(1,592)
Net Profit (non GAAP)	**1,075**	**1,268**	**1,287**	**1,192**	**1,298**	**1,360**	**1,468**	**1,333**	**1,374**	**1,670**	**1,729**	**1,532**	**2,049**	**4,822**	**5,459**	**6,306**
Reported EPS (non GAAP, US$)	**0.087**	**0.105**	**0.107**	**0.099**	**0.107**	**0.113**	**0.122**	**0.110**	**0.114**	**0.138**	**0.143**	**0.127**	**0.165**	**0.397**	**0.452**	**0.522**
Segment revenue																
PCSD	14,486	13,967	12,641	11,273	12,764	13,940	14,108	12,157	13,169	14,331	14,087	12,010	48,619	52,367	52,969	53,597
MBG	2,619	2,737	2,737	2,193	2,325	2,687	2,821	2,488	2,639	2,799	2,883	2,542	10,316	10,287	10,322	10,863
ISG	8,510	11,059	12,719	13,889	15,900	17,859	19,127	18,534	20,606	24,171	25,887	24,028	19,188	46,177	71,420	94,692
SSG	2,884	3,172	3,172	3,045	3,258	3,584	3,727	3,578	3,793	4,172	4,339	4,166	10,028	12,273	14,148	16,470
Segment PTI margins																
PCSD	7.6	7.5	7.3	7.3	7.3	7.2	7.3	7.3	7.3	7.3	7.3	7.4	7.6	7.4	7.3	7.3
MBG	4.0	5.0	5.0	4.0	4.0	5.0	5.0	4.0	4.0	4.0	4.0	3.0	5.0	4.5	4.5	3.8
ISG	9.1	9.5	9.5	8.8	8.0	6.5	6.8	7.0	6.3	6.5	6.5	6.5	0.4	9.2	7.0	6.5
SSG	24.2	23.5	23.0	23.0	22.0	22.0	22.0	22.0	21.0	21.0	21.0	21.0	22.3	23.4	22.0	21.0
Margins (%)																
Gross Margin	16.5	16.6	16.4	15.9	14.8	14.1	14.1	14.2	13.6	13.4	13.4	13.6	15.4	16.3	14.3	13.5
Operating Margin	5.7	6.3	6.4	6.2	5.9	5.5	5.7	5.6	5.2	5.4	5.5	5.4	3.8	6.2	5.6	5.4
Net Margin	4.0	4.3	4.4	4.1	4.0	3.8	3.9	3.8	3.6	3.9	3.9	3.8	2.5	4.2	3.9	3.8
Q/Q Growth (%)																
Revenue	25	9	1	-3	13	11	5	-8	9	13	4	-9				
Gross Profit	26	9	-0	-6	5	6	4	-7	5	12	3	-8				
EBIT	83	21	3	-7	7	3	8	-9	2	17	4	-11				
Net Profit (non GAAP)	92	18	2	-7	9	5	8	-9	3	22	4	-11				
EPS (non GAAP)	92	21	2	-7	9	5	8	-9	3	22	4	-11				
Y/Y Growth (%)																
Revenue Growth	43	43	33	33	20	23	27	21	17	19	19	16	20	38	23	18
Gross Profit	60	54	44	29	8	5	9	8	8	13	13	12	15	46	7	11
EBIT (GAAP)	141	144	111	113	25	6	12	9	4	19	14	12	27	126	13	12
Net Profit (non GAAP)	176	148	118	113	21	7	14	12	6	23	18	15	43	135	13	16
EPS (non GAAP)	176	154	124	119	24	7	14	12	6	23	18	15	42	140	14	16

Source: Company data, J.P. Morgan estimates

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Investment Thesis, Valuation and Risks

Lenovo Group Limited *(Overweight; Price Target: HK$50.00)*

Investment Thesis

We expect ISG to become a key earnings driver over the medium term. IDG profitability also appears better than feared, as Lenovo has been able to outgrow its peers through better supply chain management and higher scale. OW.

Valuation

Our Jun-27 PT of HK$50 is based on 19x 12-month-forward non-HKFRS diluted EPS. Our 19x multiple is above the mid-cycle valuation given the stronger earnings outlook, driven by faster-than-expected server profitability improvement, more resilient IDG margin and continued outperformance in the PC sector.

Risks to Rating and Price Target

Key downside risks include a potential slowdown in AI capex investment in 2027 and a greater-than-expected margin headwind from rising component costs.

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J.P.Morgan

Lenovo Group Limited (0992): Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**69,077**	**83,075**	**114,453**	**140,672**	**165,963**
COGS	(57,979)	(70,265)	(95,759)	(120,584)	(143,590)
Gross profit	**11,098**	**12,809**	**18,694**	**20,087**	**22,373**
SG&A	(6,407)	(7,141)	(8,303)	(8,980)	(9,976)
Adj. EBITDA	**3,467**	**4,562**	**4,981**	**9,271**	**10,246**
D&A	(1,303)	(1,300)	(1,384)	(1,399)	(1,399)
Adj. EBIT	**2,453**	**3,124**	**7,052**	**7,940**	**8,915**
Net Interest	(663)	(577)	(945)	(970)	(887)
Adj. PBT	**1,811**	**2,645**	**6,223**	**7,094**	**8,152**
Tax	(19)	(510)	(1,252)	(1,380)	(1,592)
Minority Interest	(78)	(248)	(311)	(240)	(240)
Adj. Net Income	**1,437**	**2,049**	**4,822**	**5,459**	**6,306**
Reported EPS	0.10	0.13	0.07	0.33	0.38
Adj. EPS	**0.11**	**0.14**	**0.31**	**0.34**	**0.39**
DPS	**0.05**	**0.05**	**0.06**	**0.07**	**0.07**
Payout ratio	47.7%	41.8%	89.0%	20.5%	19.4%
Shares outstanding	13,237	14,809	15,807	16,161	16,161

Income Statement - Quarterly	1Q27A	2Q27E	3Q27E	4Q27E
Revenue	**26,943**	**29,234**	**29,549**	**28,727**
COGS	(22,491)	(24,388)	(24,711)	(24,169)
Gross profit	**4,452**	**4,846**	**4,838**	**4,558**
SG&A	(1,903)	(2,232)	(2,153)	(2,015)
Adj. EBITDA	**354**	**280**	**2,238**	**2,110**
D&A	(334)	(350)	(350)	(350)
Adj. EBIT	**1,523**	**1,847**	**1,905**	**1,777**
Net Interest	(193)	(242)	(260)	(251)
Adj. PBT	**1,354**	**1,636**	**1,676**	**1,557**
Tax	(298)	(327)	(326)	(302)
Minority Interest	(131)	(60)	(60)	(60)
Adj. Net Income	**1,075**	**1,268**	**1,287**	**1,192**
Reported EPS	(0.04)	(0.04)	0.08	0.07
Adj. EPS	**0.07**	**0.08**	**0.08**	**0.07**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	14,745	16,161	16,161	16,161

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	4,817	4,984	4,771	8,679	13,688
Accounts receivable	10,507	14,503	21,093	25,505	29,660
Inventories	7,924	11,721	18,441	22,774	26,674
Other current assets	4,657	7,995	8,955	10,029	11,233
Current assets	**27,904**	**39,202**	**53,260**	**66,988**	**81,254**
PP&E	2,901	3,519	3,640	3,731	3,759
LT investments	1,780	2,297	2,567	2,567	2,567
Other non current assets	11,646	12,111	13,407	13,407	13,407
Total assets	**44,231**	**57,129**	**72,875**	**86,693**	**100,988**
Short term borrowings	1,030	878	885	885	885
Payables	11,979	19,237	26,871	33,185	38,867
Other short term liabilities	16,985	21,242	23,792	26,647	29,844
Current liabilities	**29,994**	**41,358**	**51,548**	**60,717**	**69,596**
Long-term debt	4,338	3,863	5,375	5,375	5,375
Other long term liabilities	3,239	3,465	4,774	4,774	4,774
Total liabilities	**37,571**	**48,685**	**61,697**	**70,865**	**79,745**
Shareholders' equity	6,660	8,444	11,178	15,828	21,243
Minority interests	0	0	0	0	0
Total liabilities & equity	**44,231**	**57,129**	**72,875**	**86,693**	**100,988**
BVPS	**0.54**	**0.68**	**0.93**	**1.31**	**1.76**
y/y Growth	*7.1%*	*26.8%*	*36.0%*	*41.6%*	*34.2%*
Net debt/(cash)	551	(242)	1,489	(2,419)	(7,428)
Cash flow from operating activities	**1,695**	**3,844**	**(1,309)**	**6,271**	**7,389**
o/w Depreciation & amortization	1,303	1,300	1,384	1,399	1,399
o/w Changes in working capital	(1,071)	384	(4,086)	(651)	(378)
Cash flow from investing activities	**(1,566)**	**(2,900)**	**(3,072)**	**(1,490)**	**(1,427)**
o/w Capital expenditure	(436)	(1,140)	(641)	(610)	(547)
as % of sales	*0.6%*	*1.4%*	*0.6%*	*0.4%*	*0.3%*
Cash flow from financing activities	**1,063**	**(777)**	**4,169**	**(872)**	**(953)**
o/w Dividends paid	(696)	(917)	(1,047)	(1,050)	(1,131)
o/w Net debt issued/(repaid)	1,748	(627)	1,519	0	0
Net change in cash	**1,191**	**167**	**(212)**	**3,908**	**5,009**
Adj. Free cash flow to firm	**1,259**	**2,704**	**(1,950)**	**5,660**	**6,842**
y/y Growth	*(39.0%)*	*114.8%*	*(172.1%)*	*(390.3%)*	*20.9%*

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin	16.1%	15.4%	16.3%	14.3%	13.5%
EBITDA margin	5.0%	5.5%	4.4%	6.6%	6.2%
EBIT margin	3.6%	3.8%	6.2%	5.6%	5.4%
Net profit margin	2.1%	2.5%	4.2%	3.9%	3.8%
ROE	22.6%	27.1%	49.1%	40.4%	34.0%
ROA	3.5%	4.0%	7.4%	6.8%	6.7%
ROCE	22.3%	20.0%	36.8%	32.4%	28.9%
SG&A/Sales	9.3%	8.6%	7.3%	6.4%	6.0%
Net debt/equity	8.3%	NM	13.3%	NM	NM
P/E (x)	32.9	25.8	11.7	10.6	9.2
P/BV (x)	6.7	5.3	3.9	2.7	2.0
EV/EBITDA (x)	13.0	9.7	9.2	4.5	3.6
Dividend Yield	1.4%	1.5%	1.7%	1.9%	2.1%
Sales/Assets (x)	1.7	1.6	1.8	1.8	1.8
Interest cover (x)	5.2	7.9	5.3	9.6	11.6
Operating leverage	101.8%	135.0%	332.9%	55.0%	68.3%
Revenue y/y Growth	21.5%	20.3%	37.8%	22.9%	18.0%
EBITDA y/y Growth	6.1%	31.6%	9.2%	86.1%	10.5%
Tax rate	1.0%	19.3%	20.1%	19.5%	19.5%
Adj. Net Income y/y Growth	37.7%	42.6%	135.3%	13.2%	15.5%
EPS y/y Growth	26.2%	27.5%	120.5%	10.7%	15.5%
DPS y/y Growth	0.7%	8.1%	13.0%	10.0%	10.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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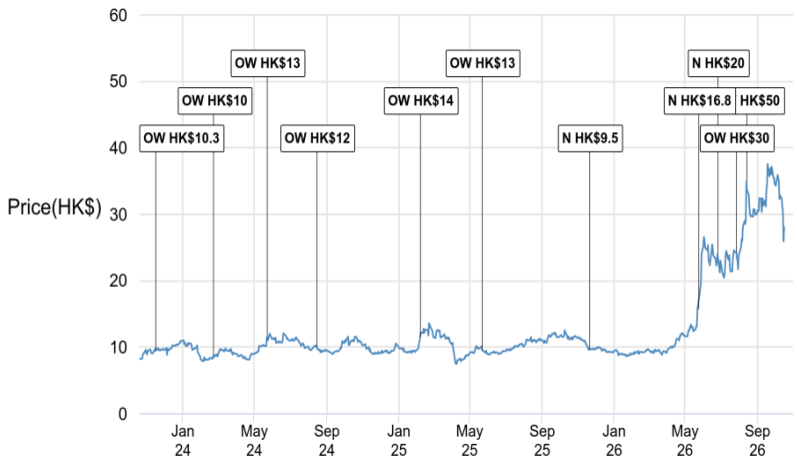
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Lenovo Group Limited (0992) (0992.HK, 992 HK) Price Chart



Date	Rating	Price (HK$)	Price Target (HK$)
17-Nov-23	OW	9.52	10.3
23-Feb-24	OW	8.84	10
24-May-24	OW	11.32	13
16-Aug-24	OW	10.02	12
07-Feb-25	OW	11.50	14
23-May-25	OW	9.57	13
21-Nov-25	N	9.72	9.5
25-May-26	N	15.75	16.8
26-Jun-26	N	23.98	20
28-Jul-26	OW	24.32	30
14-Aug-26	OW	34.90	50

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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